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THE UNITED REPUBLIC OF TANZANIA
PRIME MINISTER'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
MPWAPWA DISTRICT COUNCIL

FORM TWO PRE MOCK II EXAMINATION
065 – BUSINESS STUDIES

TIME: 2:00 HRS **MARCH 2026**

INSTRUCTIONS

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1. This paper consists of sections A, B, and C.
2. Answer all questions in sections A and B, and any two questions from section C.
3. Read all instructions carefully before attempting any question.
4. Cellular phones and unauthorized materials are not allowed in the examination room.

SECTION A: (15 Marks)
Answer all questions in this section

1. For each of the items (i) - (x), choose the correct answer from the given alternatives a n d write its letter in the box provided.

i) Which of the following is an example of a demerit good?
A. Education services B. Tobacco products C. Health services B. Sports facilities

ii) A carpenter who transforms raw wood into furniture is engaged in which business process?
A. Distribution B. Exchange C. Production D. Consumption

iii) If a student decides to spend money on buying textbooks instead of going for a school trip, the foregone school trip represents:
A. Scarcity B. Opportunity cost. C. Economic goods D. Wants

iv) Which factor of production earns profit as its reward?
A. Land B. Labour C. Capital D. Entrepreneurship

v) A small business with 3 employees and capital investment of TZS 4 million is classified as:
A. Micro enterprise B. Small enterprise C. Medium enterprise
B. Large enterprise

vi) The theory of entrepreneurship which states that entrepreneurs emerge when certain groups experience loss of status in society was proposed by:
A. Joseph Schumpeter B. David McClelland C. Everett E. Hagen
B. Richard Cantillon

vii) Which of the following is a characteristic of direct production?

A. Production is for sale
B. Large scale operations
C. Use of modern technology
D. Goods are for personal consumption

viii) In a sole proprietorship, the owner's personal property can be used to settle business debts due to:

A. Limited liability
B. Unlimited liability
C. Separate legal entity
D. Profit sharing

ix) The reward for capital as a factor of production is:

A. Rent B. Wages C. Interest D. Profit

x) Which type of entrepreneurship focuses on providing innovative solutions to social problems such as environmental challenges?

A. Business entrepreneurship
B. Intrapreneurship
C. Corporate entrepreneurship
D. Social entrepreneurship

2. Match the description about business studies concepts in **List A** with the relevant concept of business studies in **List B** by writing the letter of the correct response beside the corresponding item number in the table provided.

LIST A	**LIST B**
i) Need for Achievement Theory	A. Richard Cantillon
ii) Risk Bearing Theory	B. Loans from family with no interest
iii) Factor of production that is a free gift of nature	C. Coffee farming for export
iv) Example of indirect production	D. Tanzania Coffee Growers Association
v) Example of a cooperative in Tanzania	E. David McClelland F. When a teacher provides education service G. Land H. Entrepreneurship

SECTION B (40 Marks)

Answer all questions in this section.

3. (a) Distinguish between direct production and indirect production, giving two examples of each.
   (b). Explain four characteristics of land as a factor of production.

4. (a) List any five characteristics of an entrepreneur.
   (b) Differentiate between invention and innovation using relevant examples from the Tanzanian context.
5. (a) State four advantages and three disadvantages of using personal savings to finance a small business.
   (b) Give three examples of a microfinance institution operating in Tanzania.

6. Suggest five solutions to the challenges faced by sole proprietors.

SECTION C: (45 Marks)

Answer all questions from this section.

7. (a). Explain the importance of studying Business Studies, providing six relevant points with examples.
   (b) Describe the relationship between Business Studies and each of the following subjects:
   i) Agriculture ii) Mathematics
   iii) Language subjects (e.g., English, Kiswahili)

8. Goods are classified into different categories. Justify this statement by giving five points.

9. Describe the five theories of entrepreneurship by explaining:
   i) Innovation Theory ii) Need Achievement Theory iii) Theory of Status Withdrawal iv) Economic Theory of Entrepreneurship v) Risk Bearing Theory